

Topics in Economic History essay **Why did the Sicilian *Mafia* emerge?**

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“I (Bonasera) went to the police, like a good American... The judge sentenced them to three years in prison. Suspended sentence! They went free that very day... So, I said to my wife: For justice, we must go to Don Corleone” (Mariano Puzo, 1969).

Why did the Sicilian *Mafia* emerge? The quote above offers a hint. Bonasera's plea illustrates the perfect example of a Sicilian immigrant who flourished under the American dream. A decent business, a nice family and the protection of American law and justice. He had almost forgotten his Italian origins. However, when his daughter was assaulted and the institutions he deeply relied on to get justice failed, only one thought went through his mind: visit the *Don*. This reaction illustrates the mechanism behind the *Mafia*'s rise: when formal institutions are weak and untrusted, individuals will seek justice and protection elsewhere. In Sicily, the abolition of feudal laws and the progressive decline of the Bourbon Kingdom throughout the 19th century left a power void in the island that wasn't filled by a weak and recently unified Italian State in the 1860s. At the same time, the island had numerous individuals and forms of organization prepared and willing to offer private security. Incentives to control the protection market were there as well. The Sicilian incipient economic growth and the social unrest that followed at the end of the 19th century brought private protection demands with high benefits for the suppliers. The following sections will walk through these three main pillars in depth.

The Vacuum of Power

“A commonwealth is one person, of whose acts a great multitude, by mutual covenants one with another, have made themselves every one the author, to the end he may use the strength and means of them all, as he shall think expedient, for their peace and common defence” (Hobbes, 1651, pp. 120).

In modern democracies, citizens give away certain freedoms in exchange for the state's protection and order. If this social contract is broken, citizens are obliged to enforce law themselves or turn to someone who does. As Gambetta (1993) reports, in 19th century southern Italy violence and protection did not proceed through the customary process of becoming the monopoly of the state. Protection, unlike other goods, is not supposed to make its way into the market, but in this case, it did. The abolishment of feudal rights in 1812 meant that peasants were no longer bound to a feudal lord, land was to be treated as a private good, and private jurisdictions would be in state power. Local authority was gone. State wise, the declining rule of the Bourbon Kingdom and the newly formed Italian government that would replace it in 1861 didn't impose themselves as a central authority either. Recently formed, the Italian state was distant, bureaucratically thin and alien to the Sicilian culture. It lacked the capacity and knowledge required to enforce law in the island. Mack Smith (1968) gives an insight on the Italian state's provided security:

"There were usually less than 350 policemen for the whole island. Two or three times a year a company of troops would arrive in each town and round up a token number of malefactors, but this would be followed by another few months of complete impunity."
(Mack Smith, 1968)

Additionally, lack of trust was high in southern Italy. Gambetta argues that the dividing and conquering policy employed by the Spanish Empire resulted in profound mistrust habits among the inhabitants of southern Italy. The *fede privata*, referred to the confidence that people had in its inner circles and family kin, was

much stronger in southern Italy when contrasted to the *fede pubblica*, referred to the trust in institutions to do their job. Even if the Italian state had the capacity, this lack of confidence in the newly formed state made it even harder to enforce property rights and guarantee protection. Were the *mafiosi* the only solution to this violence monopoly vacuum? No. As a matter of fact, alternative solutions to this matter can be found in Sicily itself. In the eastern part of the island, land-owners near Messina and Catania were present and united, which allowed them to remain in power of the protection market, Gambetta says. While in western cities like Palermo and Trapani former guards became part of the *mafia*, in the eastern side they remained the private police of landowners. Battisi et al. (2025) provide evidence regarding the importance of *latifundia* characteristics in the development of the *Mafia*. Using earthquake intensity as an instrumental variable, they find key differences in land fragmentation between the east and the west. While the western part of the island got hit by earthquakes only three times during the 19th century, the eastern part suffered twenty-one earthquakes in the same period. In the later, institutional change was necessary to rebuild the damages of these natural shocks. Led by the Duke of Camastra, the eastern elite installed the emphyteusis strategy, in which the land holder (emphyteuta), would employ a borrower to improve the land for a minimal fee, eventually turned into ownership. The eastern *latifundia* became smaller and, in most cases, worked by its owner. The western *latifundia*, on the other hand, remained a large piece of land with absent owners, demanding someone to work the land and protect it.

The Ideal Candidates

Following Gambetta's arguing, *mafia* activity was seen in several professions across the island. There were brokers, bakers, millers, etc. In some cases, *mafia* organizations came from the same profession and in other they didn't. However, much of the mafia origins are to be explained by the relation between two trades, the *campieri* and the *gabelotti*. The *campiero* was a former soldier, a bandit or a vigilante that sold services to protect fields and crops, collect debts, intimidate rivals and enforce contracts, activities facilitated by the abundance of weapons in the island. The *gabelotto* worked the land for the absent owners, controlling labor,

market access and eventually organizing and offering private protection. The second group started hiring the services and skills of the first group to protect the land, often hiring the toughest thief among the group that was already robbing the land. As they were no longer dependant of one single landlord, they could offer autonomous security to numerous landholders, turning protection into an abstract currency. One key characteristic of this group was its closeness to large cities. While they started their activities on the *latifundia*, they would latter expand into several services that required being in the city, like enforcing contracts, upper class protection or extortion. Not being physically present in the countryside was not a concern for them, as reputation itself was enough. Landlords were protected if bandits associated them to certain *capo*, either because they were a part of the *capo's* crew or because they feared the consequences of robbing this type of people. As accounted by Dimico et al. (2017), when a deal with the *mafia* was done in the citric market, a lemon was put on the main gate as a symbol. Lemon production had a key characteristic that made it deeply reliant on public services. *Mafiosi* had the skills to provide these and the economic incentives to enter them.

Lemons, Land, Sulphur and the Peasant Fasci

19th century Sicily's economic incipient growth was a key factor in the development of the *Mafia*. As reported by Mack Smith, large landowners rocketed from 2.000 to 20.000 from 1812 to 1860 as feudalism was abolished. Land property grew more available, and protection grew scarcer. Bandiera (2003) finds evidence in the crucial role of land fragmentation as a field of growth for the *Cosa Nostra*. Using a common agency model, the author theorizes how land fragmentation played a key role in the relation between landowners and the market for protection offered by the former feudal guards (who, as mentioned, would become the *Mafia*). Protection works as a rival good with a key externality. Landowners benefit increases if they are one of the few to purchase protection, because they deflect thieves on other properties. As land fragmentation increases, there are more properties to deflect the thieves to and the benefit for the landlords who purchase security increases. Otherwise, if every landlord purchases the *Mafia* service, thieves have nowhere to go and the benefit decreases. This crucial point encourages the

few landlords who receive protection to pay the Mafia a higher amount. Thus, the Mafia will decide how many offers to accept to maximize their income. Providing this service to the upper class, they legitimize their position and the extortion business arises, using violence as a barrier for possible competitors in the protection market. It is noteworthy to mention that the landowners face a Prisoner's Dilemma. If no one purchases the Mafia service, there is no market for violence, and the group is better. However, buying the service was the dominant strategy and this was one of the reasons behind the Mafia subsistence. The parliamentary land survey of 1881 analysed by Bandiera follows the model prediction. Places in the island with higher land fragmentation had a larger amount of Mafia presence.

Profits coming from these lands rocketed. Dimico et al. (2017) highlight the importance of the lemon market in the Sicilian *Mafia* origins, as they conclude that this fruit predicts criminal activity in the island. In the 19th century, citrus was discovered to cure scurvy, a common disease among sailors at the time. Demand for this type of fruit rocketed overnight and Sicily had the perfect condition for citrus. By mid 1880s, two and half million Italian barrels were hitting New York's port. Citrus fertile land was thirty-five times more profitable than Olive, the second most profitable crop, as Dimico cites. Nonetheless, it wasn't just valuable. It was easy to steal, as it is a small fruit, and growing it required huge permanent infrastructure investments. In other words, it was highly reliant on public goods like law enforcement to work properly. Frustrated by the state's non-existent protection, citrus producers turned to the *Mafia*. The *Mafia* offered protection and contract enforcement with exporters, which made them a key component of the production chain. They started demanding higher profits, gaining power and resources, and leaving producers with just enough income to keep the business going.

Buonanno et al. (2012), on the other hand, state that there was a good that predicted the origin of *mafia* even better, sulphur. By 1893, Sicily was the biggest producer of this good, accounting for 83% of the world market. This mineral was used for gunpowder production, and it required mines and transportation guarding,

leading roads to become a key economic checkpoint. The brotherhood of Favara (1883), one of the first known *mafia* organizations, came from this trade.

The author's thesis is that sulphur, which can be found only in western Sicily, and not citrus, found in all the island, was the key predictor for *mafia* rise. However, they are missing one point. The western part of Sicily had both lemon production and land fragmentation. Luopo (1984) precisely reports that in Conca d' Oro, a suburb of Palermo, lemon production was high, and properties were small, allowing for one man to look out the fields of several customers.

Another causal factor in explaining mafia origins was control of water flows. The first *mafia* related murder happened in 1874 when a water guard was killed. Just like lemons and sulphur, a common pattern seems to emerge when considering the business *mafia* gets into. Control of water flows deeply relies on public goods like protection and contract enforcement, which made them highly attractive for the services provided by the *mafia*.

This land fragmentation phenomenon and the economic boom that happened at the time provided the economic factors for the *Cosa Nostra* to establish themselves locally. Acemoglu et al. (2020) set the context in which mafia managed to consolidate as the main force of protection in the island. As mentioned before, Western Sicily was highly unequal, with latifundia owners, middlemen and peasants with very adverse conditions. A drought in 1893 dropped agriculture by 65% in some sectors of the island, leading peasants to reveal themselves against the local aristocrats. The Peasant Fasci, the first socialist movement in Italy, emerged as a big threat both for the *mafia* and the landowners. Gambetta argues that *mafia* had an additional reason to hate leftist and fascist movements, as they were stripped from the protection monopoly. Both groups united and the Peasant Fasci was crashed. The mafia, however, was weaponized at a large scale and became too powerful to be eradicated. As the authors report, 1993's rainfall amount predicts 37% of Sicilian mafia activity in the 20th century and accounted for a 10% drop-in literacy rates by 1991.

Ironically, the same state that was supposed to guarantee law enforcement in the first place turned to the already powerful *mafia* when it was at need. The mafia aided the state and suppressed the revolt, but the negative long-lasting effects reported by the authors endorse the fact that, when you do business with this type of group, there is always another side of the coin.

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